
MONEYRULES SERIES

The FIRE Playbook

Financial Independence, Retire Early

*The 4% rule, the 25× target, lean vs fat FIRE,
and the maths that makes early retirement possible.*

Brought to you by

Income Online

www.incomeonline.info

What is FIRE?

FIRE stands for Financial Independence, Retire Early — a movement based on a simple observation: if you save aggressively while working, investment returns will eventually cover your living costs forever, freeing you from paid work decades before traditional retirement age.

***Financial Independence =
Passive income > Your living expenses***

The Two Rules Behind FIRE

The 25× Rule

Your FIRE number = $25 \times$ your annual expenses. Spend £24,000/year? You need £600,000 invested. Spend £40,000/year? £1,000,000. The logic comes from the 4% Rule below.

The 4% Rule

Once you've got 25× invested in diversified equities, you can safely withdraw 4% per year and your portfolio will typically last 30+ years, often growing rather than shrinking. Based on the "Trinity Study" of 1998, updated multiple times since.

FIRE Flavours

Flavour	Annual Spend	Target Number	Typical Timeline
Lean FIRE	£18,000	£450,000	10-15 years
Regular FIRE	£30,000	£750,000	15-20 years
Fat FIRE	£60,000	£1,500,000	20-25 years
Coast FIRE	Varies	Enough to stop contributing	8-12 years
Barista FIRE	Partial	50-70% of full number	10-15 years

Your Savings Rate Determines Your Timeline

Assuming 7% real returns, the years to FIRE depend almost entirely on your SAVINGS RATE, not your income:

Savings Rate	Years to FIRE
10%	51 years
20%	37 years
30%	28 years
40%	22 years
50%	17 years
60%	12.5 years
70%	8.5 years

***Doubling income has small effect on FIRE timeline.
Doubling savings rate has huge effect.***

The Six Levers

- 1. Earn more (side-hustles, career growth, negotiation).
- 2. Spend less (housing + transport are 50-70% of most budgets).
- 3. Save the difference aggressively.
- 4. Invest in low-cost global index funds (0.1-0.25% expense ratio).
- 5. Use tax wrappers (ISA + SIPP) to let compounding work undisturbed.
- 6. Stay the course through market drops — they're features, not bugs.

Your FIRE Checklist

1. Calculate your annual expenses honestly for 3 months.
2. Multiply by 25 — that's your target number.
3. Measure your current savings rate.
4. Open an ISA and a SIPP if you haven't. Set direct debits.
5. Choose your flavour (Lean / Regular / Fat / Coast / Barista).
6. Check your timeline on the table above.
7. Review every 6 months. Adjust as life changes.

Thank you for reading.

Income Online

Your Guide to Earning More

www.incomeonline.info

© 2025 Income Online. All Rights Reserved.

This document is for educational purposes only and does not constitute financial advice.